

Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1148. General allegations of actual knowledge of a specific primary violation are sufficient. *Ibid.* The FAC alleges Ford and Delgado had actual knowledge of O'Connor and Zamora's fraudulent conduct and provided substantial assistance through ratification and approval of fraudulent communications. (FAC ¶¶ 262-264.) These general allegations of actual knowledge of the specific primary violation are sufficient to survive the demurrer. The demurrer as to this cause of action is **OVERRULED**.

Thirteenth COA – Restitution/Unjust Enrichment. (Unjust Enrichment is listed as the fourteenth on the caption page, but as the thirteenth in the body of the FAC.) Charity One argues that unjust enrichment is not a stand-alone cause of action, and there is no basis for restitution.

“Unjust enrichment is generally an inapplicable basis for restitution where the parties have an enforceable express contract; however, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason, or where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is ‘quasi-contract. Thus, Sepanossian's “unjust enrichment” claim does not properly state a cause of action. Because Sepanossian does not dispute there were express form contracts in this case, he cannot assert a quasi-contract claim for restitution based on unjust enrichment. “Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, [Sepanossian’s] breach of contract claim pleaded the existence of ... enforceable agreement[s] and [his] unjust enrichment claim did not deny the existence or enforceability of [those] agreement[s]. [Sepanossian is] therefore precluded from asserting a quasi-contract claim under the theory of unjust enrichment.” *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 207 (internal quotations and citations omitted).

Here, Plaintiff has plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, which gives rise to the quasi-contract claim under the theory of unjust enrichment. This is permissible as discussed in *Sepanossian*. The cause of action is adequately pled. The demurrer as to the Thirteenth Cause of Action is **OVERRULED**

Charity One’s Demurrer is sustained without leave to amend as to the sixth cause of action and is overruled as to all other contested causes of action. Charity One is directed to submit a new proposed order consistent with this ruling. Plaintiff will have 20 days’ leave to file a Second Amended Complaint from notice of entry of order.

AXIOM REPERTORY THEATRE VS. CHARITY ONE INSURANCE AGENCY, ET AL.

CASE NUMBER: 26CV-0209907

Tentative Ruling on Great American’s Demurrer: Defendant Great American Assurance Company (“Great American”) demurs to six of the twelve causes of action alleged against it by Plaintiff Axiom Repertory Theatre (“Axiom”) in the First Amended Complaint (“FAC”). Axiom opposes the demurrer.

The FAC generally alleges that Axiom, a nonprofit theater company in Redding, suffered losses due to an October 30, 2024 fire. Axiom alleges its insurance broker Charity One Insurance Agency, several of Charity One’s employees, and Great American Insurance Company are liable for damages on claims including negligence, breach of contract, fraud, and other causes of action relating to Axiom’s insurance coverage.

The Complaint includes fifteen causes of action, twelve of which are alleged against Great American. This demurrer concerns the following six: the Third Cause of Action (Declaratory Judgement), Fourth (Reformation), Fifth (Breach of Contract), Sixth (Breach of Implied Covenant of Good Faith and Fair Dealing), Ninth (Conspiracy), and Thirteenth (Unjust Enrichment). Great American demurs on the grounds that the Third, Fourth,

Fifth, Sixth, Ninth, and Thirteenth Causes of Action fail to state facts sufficient to constitute a cause of action pursuant to CCP 430.10(e); and on the grounds that the Fifth Cause of Action is uncertain, and it cannot be ascertained whether the alleged contract is written, oral, or implied by conduct pursuant to CCP 430.10(f) and (g). The Court will address each challenged cause of action in the order the parties presented their arguments in the briefing.

Meet and Confer: CCP § 430.41 requires the demurring party to “meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” The Declaration of Andrew Downs establishes compliance with this requirement.

Merits: A demurrer should be sustained if the complaint fails to “state facts sufficient to constitute a valid cause of action.” CCP § 430.10(e). A demurrer can be used to challenge defects that appear on the face of the complaint or from matters that may be subject to judicial notice. *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318. The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” *Hood v. Hacienda La Puente Unified School District* (1998) 65 Cal. App. 4th 435, 438. No matter how unlikely, a plaintiff’s allegations must be accepted as true for the purpose of ruling on a demurrer. *Del. E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604. A plaintiff must plead ultimate facts that acquaint the defendant with the nature, source and extent of plaintiff’s causes of action. *Doe v. City of Los Angeles* (2007) 42 Cal. 4th 542, 550.

Fourth COA – Reformation. Civ. Code § 3399 provides: “When, through fraud or a mutual mistake of the parties, or a mistake of one party, which the other at the time knew or suspected, a written contract does not truly express the intention of the parties, it may be revised on the application of a party aggrieved, so as to express that intention, so far as it can be done without prejudice to rights acquired by third persons, in good faith and for value.”

“The allegations necessary to state a cause of action for reformation are ... as follows: “A complaint for the reformation of a contract should allege what the real agreement was, what the agreement as reduced to writing was, and where the writing fails to embody the real agreement. It is also necessary to aver facts showing how the mistake was made, whose mistake it was and what brought it about, so that mutuality may appear.” *Lane v. Davis* (1959) 172 Cal.App.2d 302, 309.

Great American argues that Axiom has only alleged an implied policy, and that relief cannot be had for an alleged unwritten policy. This cause of action alleges Plaintiff had an “actual insurance contract for the October 2023-October 2024 term” and an “implied insurance contract for the October 2024-October 2025 year term.” (FAC ¶ 183.) “The 2024 Contract is implied from Axiom’s application for an updated policy with higher limits than the 2023 Contract ...” (FAC ¶ 184.) “Due to mistake and/or the inequitable conduct of Defendants and their agents ... the insurance contract that governed Plaintiff’s coverage at the time of loss did not reflect the coverage limits that were intended by Plaintiff.” (FAC ¶ 187.)

As pled, Plaintiff has not alleged an actual agreement, reduced to writing, which fails to embody the real agreement. Instead, Plaintiff alleges that the agreement should have been reduced to writing, but was not. This is insufficient to state a claim for reformation. “Reformation is an equitable remedy the essential purpose of which is to ensure the contract, as reformed, reflects the parties’ mutual intention. [Citations.] “In reforming the written agreement, a court may ‘transpose[], reject[], or suppl[y]’ words [citation], but has ““no power to make new contracts for the parties”” [citation]. Rather, the court may only reform the writing to conform with the mutual understanding of the parties at the time they entered into it, if such an understanding exists. [Citation.]” *Komorsky v. Farmers Ins. Exchange* (2019) 33 Cal.App.5th 960, 974. To state a cause of action for reformation, a party must allege an agreement reduced to writing. As pled, the FAC seeks to reform an implied contract, one which was not reduced to writing. The demurrer as to the Fourth Cause of Action is **SUSTAINED** with leave to amend.

Fifth COA – Breach of Contract. The elements of a cause of action for breach of an insurance contract are (1) the contract, (2) the insured's performance or excuse for nonperformance, (3) the insurer's breach, and (4) resulting damages. *Gharibian v. Wawanesa General Ins. Co.* (2025) 108 Cal.App.5th 730, 737. Great American argues that Axiom's breach of contract claim is based on a defective reformation theory, and that it is uncertain because Axiom does not attach or allege all material terms of the alleged implied contract. Plaintiff's FAC adequately alleges each of the requirement elements. In contrast to reformation, breach of contract is an available cause of action for an implied contract.

"A contract may be written, oral or inferred from the parties' conduct as an "implied-in-fact" contract. ... An implied contract must be founded upon an ascertained agreement of the parties to perform it. ...Accordingly, an implied-in-fact contract "consists of obligations arising from a mutual agreement and intent to promise where the agreement and promise have not been expressed in words." *Siskiyou Hospital, Inc. v. County of Siskiyou* (2025) 109 Cal.App.5th 14, 52. The breach of contract cause of action is not dependent on the reformation theory. The cause of action is sufficiently pled. The demurrer as to the Fifth Cause of Action is **OVERRULED**.

Third COA – Declaratory Judgment. Great American argues that this claim is duplicative of Axiom's breach of contract claim, and that it is prospective only, while Axiom's grievances all concern the past. Axiom is entitled to plead legal theories in the alternative without rendering the pleading defective. An election cannot be forced by demurrer. *Steiner v. Rowley* (1950) 35 Cal.2d 713, 718–19. A declaration here would determine the operative policy, the legal effect of Great American's rescission, its continuing obligations to adjust and pay remaining benefits, and the prospective duty to disclose material contract terms. *Haynes v. Farmers Ins. Exchange* (2004) 32 Cal.4th 1198. The cause of action is sufficiently pled. The demurrer as to the Third Cause of Action is **OVERRULED**.

Sixth COA – Breach of Implied Covenant of Good Faith and Fair Dealing. The elements of a cause of action for breach of the implied covenant of good faith and fair dealing are: (1) the insurer was obligated under the policy to the insured, (2) the implied duty of good faith and fair dealing arose, (3) the insurer unreasonably breached that duty, and (4) the breach caused damages. *Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 115; *Waters v. United Services Auto. Assn.* (1996) 41 Cal.App.4th 1063, 1079.

Great American argues that this claim concerns alleged mishandling of a renewal application, and the implied covenant is based on contractual performance, not contractual formation. As discussed above, Plaintiff has properly alleged an implied contract. If Great American is found to be obligated under that contract to the insured, then the implied duty arose. Additionally, Plaintiff alleges Great American was obligated under the prior year's policy, and that the breach related to acts or omissions during renewal of that policy and prior to its expiration. The claim is adequately pled. The demurrer as to the Sixth Cause of Action is **OVERRULED**.

Thirteenth COA – Restitution/Unjust Enrichment (Unjust Enrichment is listed as the fourteenth on the caption page, but as the thirteenth in the body of the FAC.) Great American argues that this is not a stand-alone cause of action.

"Unjust enrichment is generally an inapplicable basis for restitution where the parties have an enforceable express contract; however, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason, or where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is 'quasi-contract. Thus, Sepanossian's "unjust enrichment" claim does not properly state a cause of action. Because Sepanossian does not dispute there were express form contracts in this case, he cannot assert a quasi-contract claim for restitution based on unjust enrichment. "Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable

agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, [Sepanossian's] breach of contract claim pleaded the existence of ... enforceable agreement[s] and [his] unjust enrichment claim did not deny the existence or enforceability of [those] agreement[s]. [Sepanossian is] therefore precluded from asserting a quasi-contract claim under the theory of unjust enrichment." *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 207 (internal quotations and citations omitted).

Here, Plaintiff has plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, which gives rise to the quasi-contract claim under the theory of unjust enrichment. This is permissible as discussed in *Sepanossian*. The cause of action is adequately pled. The demurrer as to the Thirteenth Cause of Action is **OVERRULED**

Ninth COA – Conspiracy. Great American argues that this is not a stand-alone cause of action. "Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration. (*Wyatt v. Union Mortgage Co.* (1979) 24 Cal.3d 773, 784.) By participation in a civil conspiracy, a coconspirator effectively adopts as his or her own the torts of other coconspirators within the ambit of the conspiracy. (*Ibid.*) In this way, a coconspirator incurs tort liability co-equal with the immediate tortfeasors." *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 510-511. "Conspiracy is not an independent tort; it cannot create a duty or abrogate an immunity. It allows tort recovery only against a party who already owes the duty and is not immune from liability based on applicable substantive tort law principles." *Id.* at 514. Plaintiff's ninth cause of action for conspiracy fails to state sufficient facts to constitute a cause of action, because it does not specify the underlying tort theory that is the basis for the claim. The demurrer as to the Ninth Cause of Action is **SUSTAINED** with leave to amend.

Great American's Demurrer is sustained with leave to amend as to the fourth and ninth causes of action, and is overruled as to the third, fifth, sixth, and thirteenth causes of action. Great American is directed to submit a new proposed order consistent with this ruling. Plaintiff will have 20 days' leave to file a Second Amended Complaint from notice of entry of order.

AXIOM REPERTORY THEATRE VS. CHARITY ONE INSURANCE AGENCY, ET AL.

CASE NUMBER: 26CV-0209907

Tentative Ruling on Motion to Strike: Defendant Great American Assurance Company ("Great American") moves pursuant to CCP 435 and 436 to strike paragraphs 164, 165, 208, 272, 273, and 274 (except the last sentence) from the First Amended Complaint. Plaintiff concedes with respect to paragraph 208 and opposes as to the rest.

Meet and Confer. "Before filing a motion to strike pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to the motion to strike for the purpose of determining if an agreement can be reached that resolves the objections to be raised in the motion to strike." CCP § 435.5(a). The Court finds that Defendant has satisfied the meet and confer requirement.

Request for Judicial Notice: Great American requests the Court take judicial notice of: 1) the records of the California Dept. of Insurance relating to Charity One Insurance Agency, attached as Exhibit 1; 2) That Charity One has held licenses issued by the Dept. of Insurance to act as an agent-broker since June 28, 2025, as shown by Exhibit 1. The request is denied as it is not clear that this document qualifies as an "official act of the legislative, executive, and judicial departments of the state," and is not capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.

Merits. The Court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon